

PSI Exam Prep: Agency

STUDY SHEET

Top Takeaways

Thirteen percent of your licensing exam questions will relate to general principles of agency.

A. Agency and Non-Agency Relationships

1. Agency Relationships and How They Are Established

- The concept of agency is one in which a licensee enters into a contract to represent a client in a real estate transaction in exchange for compensation.
- A **consumer** is someone who uses or purchases a product or service.
- A **customer** is someone who's working with a real estate licensee but who isn't represented by that licensee (nor owed the full range of agency responsibilities); the customer may or may not be represented by another licensee.
- A **principal** is usually the party to the transaction who is represented (the client).
- A **client** is someone who's represented by a real estate licensee (and owed certain agency responsibilities).
- A **fiduciary** is someone in a position of trust who owes loyalty to another.
- An **agent** is someone who acts on behalf of someone else.
- A **universal agent** has broad authority to act for the principal, such as someone who has power of attorney.
- A **special agent** (aka **limited agent**) has limited authority to act on a client's behalf, such as a real estate agent or an escrow officer. This type of agent can't bind a client to a contract.
- A **general agent** is responsible for handling all dealings in a given area for a client, such as a property manager. This type of agent may bind a client to a contract.
- **Single agency** is when a licensee represents one party, either the buyer or the seller, in a transaction. Single agency firms don't permit licensees to engage in dual agency, even if the state permits it.
- **Dual agency** is the representation of both the buyer and the seller in the same transaction.
 - **Single-license dual agency** is when a single licensee represents both the buyer and the seller in the same transaction.
 - **Designated/appointed agency** (aka **dual-license dual agency**) is when two separate licensees from a single firm each represent one party (buyer or seller) in the same transaction.
 - Licensees may legally engage in dual agency only if they practice in a state that permits it, if their brokerage firm permits it, and if they've made the proper disclosures to and written consent received from the buyer(s) and seller(s). If both parties don't agree to dual agency, the licensee won't be permitted to represent both parties in the transaction. One party would need to work with a different agent or brokerage.
 - As an agent with two clients in the same transaction, both parties are owed fiduciary duties. One duty that is impossible to provide in dual agency is undivided loyalty. This is why informed consent is so important.
 - The other duty that may be impossible to deliver is full disclosure of any information relevant to the transaction. Dual agents must take care to keep all confidential information truly confidential. This means they may not disclose one client's confidential information to the other.
- **Sub-agency** has traditionally been recognized as a situation in which a licensee brings an unrepresented buyer to a transaction. Not all states allow subagency, but in the states where it is permitted, that licensee represents and owes fiduciary duties to the seller. Today's buyers are typically represented by a licensee, thus eliminating sub-agency of this type in most transactions.
- **Express agency** is an agency relationship that's understood and agreed to by the parties. Spoken or written words create express agency.
- Actions of the parties may create **implied agency**, which is to be avoided. All agency agreements should be in writing.
 - General real estate discussions are safe. However, to avoid implied agency situations, refrain from making statements that may be taken as your expert opinion. Don't perform actions that only an agent should perform.
 - Licensees must take care to not create an implied agency situation that may also be considered illegal dual agency.
 - **Ratification** is acceptance after the fact, either through signing paperwork or through the parties' actions. If the parties choose, implied agency can be ratified through signing an agency agreement after the implied agency relationship has been created.
 - **Estoppel** prevents one party from suing another, because the party's actions or statements implied that he or she agreed with the other party; e.g., if Kara creates an implied agency relationship with a client and performs agency tasks for the client, estoppel prevents her from later claiming she wasn't in an agency relationship.
- Agency is created solely through the agency agreement-not through compensation. Paying a commission does not create an agency relationship between the payer and the licensee. Licensees who receive compensation from someone other than the client must disclose that to the client.

2. Types of Listing Contracts

- **Exclusive agency** agreements allow only one brokerage to market and sell the property. However, if the seller finds her own buyer, she doesn't pay commission to the brokerage.

- An **exclusive right-to-sell** agreement provides the listing agent with a commission no matter who brings the buyer to the transaction. Exclusive right-to-sell agreements include definite start and end dates.
- **Open listing** agreements allow the seller to work with multiple agents. They don't always result in a listing agent earning a commission, as only the agent who successfully brings a buyer will be paid.
- Listing contracts (agreements) and buyer representation agreements should be written for the greatest level of licensee and client protection. They almost always require a definite end date.
- Listing agreements document the licensee's and the seller's duties.
- Licensee duties documented in the listing agreement include confidentiality, the disclosure of material facts, the obligation to market the property, and the obligation to promptly present all offers and counter-offers.
- Clauses in the listing agreement specify whether the property can be placed on the multiple listing service (MLS), marketed on the internet, or marketed via yard signage.
- A **net listing** is not actually a listing type; it is a compensation agreement in which the broker contracts with the seller to receive all net proceeds from a sale above a specified sale price. Net listings are illegal in most states because they create a conflict of interest and encourage unethical behavior, such as trying to sell a property for more than its value, even where it is allowed, it is discouraged and often regulated.

3. Buyer Brokerage/Tenant Representation Contracts

- Other licensees can't represent the buyer during the term of an **exclusive right-to-represent** agreement.
- **Non-exclusive/open buyer representation** agreements allow the buyer to work with many agents during the home search process. If a buyer enters into an exclusive agreement with a broker, any open agreements are terminated.
- The agreement should address compensation as well as the parties' obligations to one another. Other common elements of a buyer representation agreement include a general description of the property sought by the buyer including price, location, size, etc.
- The buyer's duties as noted in a representation agreement include authorizing the agent to locate and show properties, while the agent's duties include showing properties, assisting in negotiations, notifying the buyer of any material changes, and providing guidance.

4. Other Brokerage Relationships, Including Transaction Brokers and Facilitators

- **Non-agency** relationships (aka **transactional** or **facilitator** roles) are those in which the licensee doesn't represent the consumer in an agency capacity but instead provides non-agency assistance that doesn't require the licensee to exercise judgment or discretion. State statutes govern non-agent duties.
- Both facilitator and transaction broker roles can differ from state to state based on statutory law. In fact, some states may use other terms to describe a non-agency relationship between a licensee and consumer. When it comes to general (not state-specific) concepts, the terms "facilitator" and "transaction broker" are used interchangeably to describe a non-agency relationship.

5. Powers of Attorney and Other Assignments of Authority

- A **power of attorney (POA)** is a legal document that grants legal rights and powers from one person (the **principal**) to another (the **agent** or **attorney-in-fact**) to make decisions on behalf of the principal. The agent's decisions must reflect the principal's preferences and can't exceed the authority granted by the specific power of attorney document. An agent may never override the principal's wishes.
 - A general power of attorney gives broad powers to the agent to act on someone else's behalf.
 - A special power of attorney is more narrow in scope and authorizes the agent to act in specific circumstances or transactions. A special power of attorney grants authority similar to that of an agency agreement between a licensee and a client.
- Usually, a POA may be granted to a spouse, family member, friend, or neutral third party. There are a number of risks and conflicts of interest if a client were to grant a licensee a power of attorney. For this reason, many brokers generally avoid the situation. If used, there must be a paper trail, and the POA is usually limited to signing on behalf of a client at closing if the client can't attend. However, many brokerages strongly believe that another party could be granted POA so that a licensee doesn't need to act in that capacity. Licensees should discuss POA situations with their broker before participating in any POA situation.
- A power of attorney terminates upon the death of the principal or when the principal revokes the POA. Divorce terminates a power of attorney if one had been granted to the former spouse.

6. Conditions for Termination of Agency or Brokerage Service Agreements

- Agency agreements can terminate in one of five basic ways:
 - Expiration
 - Completion (performance)
 - Force of law
 - Destruction of the property or death of the principal
 - Mutual agreement
- In addition, a client may revoke the agency relationship before the agreement's fulfillment or expiration due to lack of trust in the agent or agency (which may be accomplished without penalty) or without good cause (which likely constitutes a breach of contract).
- An agent may renounce the relationship before the agreement fulfillment or expiration. The licensee may have duties that must still be fulfilled.

- Sellers who terminate an agency agreement before it expires may still owe the agent a commission.
- The duty of confidentiality extends beyond the termination of the agency relationship.
- The agency relationship will end if the agency agreement between agent and client expires.
- If the real estate transaction with which the agent was assisting closes, the agency relationship terminates.
- Force of law terminations include events that are beyond the control of the parties, such as bankruptcy of the broker or principal, property destruction, or incapacitation of the agent or principal.
- If the property is destroyed, or if the broker or principal dies or becomes incapacitated, the agency relationship ends.
- The principal(s) and agent may mutually agree to terminate an agency agreement. Neither party can singly decide to terminate the relationship; there must be an agreement between the two parties to terminate.

B. Agent Duties

1. Traditional Agency Duties (COALD)

- The law of agency describes rules related to agency-the relationship between a real estate professional and the person or persons being represented. **Traditional agency duties** that spring from old English common law are the foundation for today's six fiduciary duties. Thus, the duties are quite similar:
 - Act in the principal's best interests.
 - Avoid and disclose any conflict of interest.
 - Disclose any compensation or profit.
 - Maintain confidentiality.
 - Act with reasonable care and skill.
 - Account and care for any property received from or on behalf of the client.
 - Obey lawful and reasonable instructions from the principal.
 - Do not delegate authority or duty without the principal's consent.
- Based on these general duties, licensees have many specific duties, including:
 - Seek a sale at a price and on terms acceptable to the seller.
 - Show buyers properties that meet their criteria.
 - Ensure that all offers and counter-offers are presented in a timely fashion.
 - Ensure that clients receive copies of all signed documents.

2. Fiduciary Duties of Agents

- A licensee's **fiduciary responsibilities** (duties) include obedience, loyalty, disclosure, confidentiality, accounting, and reasonable skill and care (OLD CAR). Fiduciary duties are owed to clients, but not customers. Non-agents don't have fiduciary duties.
 - **Obedience** means following a client's lawful instructions. Licensees may not obey a client's illegal or unethical instructions.
 - **Loyalty** means putting your client's interests ahead of others, including your own. It also means working in the client's best interests.
 - As an agent, your duty of **disclosure** means that you must disclose to your client any facts that are relevant to the transaction (aka **material facts** ; e.g., any information, including agency-related information, that might have an impact on the transaction).
 - You must keep **confidential** any information that could harm your client's negotiating position in a transaction. This includes your client's motivations, timeframes, willingness to settle for terms/price other than those offered, and any other information your client deems confidential (unless disclosure is required by law).
 - **Accounting** means proper handling of client property, which includes keys, funds, paperwork, and the property itself. This means no commingling or conversion of the earnest money, among other requirements.
 - The duty of **reasonable skill and care** requires agents to operate within the scope of their expertise and advise clients to seek expert advice on matters that are outside of the agent's scope of knowledge. It also refers to the expert performance of a licensee's tasks. Licensees should always encourage clients to seek an attorney's advice before signing contracts.
- These duties end with termination of the agency relationship, except for the duties of confidentiality and accounting.
 - In most states, the duty of confidentiality remains forever.
 - The duty of accounting ends when all transaction-related property for which the licensee was responsible has been properly accounted for.

3. Agent's Duties to Customers/Non-Clients, Including Honesty and Good Faith

- Licensees owe the duties of honesty, integrity, fairness, and accounting to parties other than their clients.
- Licensees owe the duty of cooperating on showings to other licensees who are part of a transaction.
- The duty to disclose all known facts (material and/or adverse material) is generally dictated by state law. Licensees need to be aware of state disclosure requirements.
- The obligations of fairness and integrity require licensees to disclose their agency relationship with the client to customers they assist before the third party reveals anything confidential.
- Licensees have the duty of accounting to customers. Accounting means proper handling of client property, which includes keys, funds, and paperwork.

C. Agency Disclosures

1. Disclosures of Agency/Representation

- Licensees are required to disclose agency relationships to ensure that relevant parties understand whom the licensee represents.

2. Disclosure of Possible Conflict of Interest or Self-Interest

- Licensees must disclose their professional status when buying or selling property for themselves.
- If a licensee has an ownership interest in a given property or has a family or organizational connection to the property owner, this should be disclosed to all parties in the transaction.
- **Agency coupled with interest** means that the agent has some form of ownership of, security interest in, or possession of the principal's property. The agent's compensation depends on continuance of the agency agreement. For example, a licensee sells undeveloped acreage for a reduced cash price plus the right to an exclusive-right-to-sell listing agreement on the developed lots.
 - Agency coupled with interest continues until the interest in the property ends.
 - Death or incapacitation of the principal doesn't void an agency coupled with interest arrangement.

For additional information, please consult your PSI Candidate Handbook.